



ශ්‍රී ලංකා පදිසිය ආදායම්
இலங்கை உள்ளநாட்டு இறைவரி
Sri Lanka Inland Revenue

**GUIDE TO FILL THE
RETURN OF INCOME, SCHEDULES
&
STATEMENT OF ASSETS AND LIABILITIES**

INDIVIDUAL

YEAR OF ASSESSMENT

2024/2025

This Guide contains;

- A. GENERAL INSTRUCTIONS**
- B. INSTRUCTIONS TO COMPLETE THE RETURN FORM**
- C. INSTRUCTIONS TO COMPLETE THE STATEMENT OF ASSETS AND LIABILITIES**

A. GENERAL INSTRUCTIONS

1. This set of documents comprises of two parts.

- I. Return Form
 - (i) Return of Income
 - (ii) Return of Income - Schedules
- II. Statement of Assets and Liabilities (A/L)

Every individual Taxpayer should fill the Return Form (Return of Income and Schedules) and the Statement of Assets and Liabilities.

Method of Filing

In terms of section 113 1 B of the IRA as amended by the Inland Revenue (Amendment) Act , No. 04 of 2023, with effect from the year of assessment commencing from April 1, 2023, e – filing of tax returns (Electronically filing return) is mandatory for every Individual Tax Payers.

Therefore, individuals are not entitled to furnish their Return of Income in writing by using the printed specified forms.

Arrangements have been made for e - filing via the IRD web portal. Please refer to the www.ird.gov.lk for further information.

2. You may read this Guide before filling the Return of Income, Schedules and Statement of Assets and Liabilities.
3. **Resident individuals and non-resident individuals** are required to declare the income from Employment, Business, Investment and Other Income Source (including income from Supply of electricity generated by solar panel at his premises) for the period from



01.04.2024 to 31.03.2025 in the Return for the year of assessment **2024/2025**.

4. The Assessable Income of a **Resident Individual** is the individual's income from Employment, Business, Investment or Other Income Source (including income from Supply of electricity generated by solar panel at his premises) for that year, **wherever the source arises** and in the case of a **non-resident individual**, the individual's income from Employment, Business, Investment or Other Income Source for that year, to the extent that the **income arises in or is derived from a source in Sri Lanka**.
5. The Return may submit in the language of your choice. If you want to change your **language preference**, you may contact **Customer Information Update Unit at the IRD Head Office**, or any **Regional Office** and update your taxpayer profile.
6. In case of any **data filling cage in the Return or a Schedule is not required** to be filled, then nothing should be written in words such as “not applicable or placing hyphen” in that **cage**.

If a part of a Schedule is not required/not relevant to you, write – Not Applicable – across that Schedule or the part of that Schedule.

If the space provided to enter details in a **Schedule** is not enough, add a note “**Refer to the attachment**” in that Schedule and provide such details in the same format provided as a separate attachment.

Example for correct filling of data

(In the case where the taxpayer has only the business income)

SECTION – 01: STATEMENT OF TAX CALCULATION

Part A –INCOME LIABLE TO TAX

Employment Income	(Schedule 1)	10																	
Business Income	(Schedule 2)	20			2	6	5	8	5	0	0	0	0	0	0				
Investment Income	(Schedule 3)	30																	
Other Income	(Schedule 4)	40																	
ASSESSABLE INCOME (10+20+30+40)		50			2	6	5	8	5	0	0	0	0	0	0				



7. Every individual is advised to furnish the duly completed Return (Return of Income and mandatory Schedules) and other required documents to the IRD via web portal on or before **30th November, 2025**.
8. The IRD has also provided the online submission facility to submit the Return of Income - Individual and mandatory Schedules via **IRD Web Portal e-Services facility**.

9. **Payment of Tax**

The tax for the year of assessment is to be paid in quarterly installments as an installment payer as per the Statement of Estimated Tax (SET) Payable submitted for the year of assessment, and the final payment.

The following table describes the due dates for quarterly tax payments and the payment codes for the year of assessment 2024/2025.

Installment	Due Date (on or before)	Payment Code
1	15 th of August, 2024	24251
2	15 th of November, 2024	24252
3	15 th of February, 2025	24253
4	15 th of May, 2025	24254
Final	30 th of September, 2025	24250

The aggregate of four installments, the final payment and applicable tax credits should be equal to the total tax liability of the year of assessment 2024/2025.

10. **Penalties, Interest and Imprisonment**

Furnishing an incorrect Return or failure to furnish a Return on or before the due date or non-submission of Return will be subjected to **penalties or imprisonment**.



Failure to pay tax on due dates will be subjected to **penalties and interest** as follows;

- Penalty for **late filing** of Return is equal to the **greater of** –
 - (i) 5% of the amount of the tax owing, plus a further 1% of the amount of tax owing for each month or part of a month during which the failure to file continues; and
 - (ii) Rs. 50,000/- plus a further Rs. 10,000/- for each month or part of a month after November 30, 2025.
 - A penalty for **making false or misleading statement** is equal to the **greater of** Rs. 50,000 or the amount by which would have the tax payable reduced or refund increased, if it were determined based on such statement.
 - In case of **failure to file a Return**, an individual is liable to a fine not exceeding 1 million Rupees or to imprisonment for a term not exceeding one year or both such fine and imprisonment.
 - In case of failure to pay all or part of;
 - **an instalment payment** on the due date, an individual shall be liable to pay a penalty of 10% of the amount of the tax due but not paid.
 - **tax due for a tax period** on the due date or the due date specified in the Notice of Assessment, an individual shall be liable to a penalty of 20% of the tax due but not paid and
 - an interest of 1.5% per month or a part of a month of the late period.
11. **Specified Form** – Return Form is specified by the Commissioner General of Inland Revenue (CGIR) under Section 126 of the Inland Revenue Act, No. 24 of 2017 (hereinafter referred to as the IR Act) and is required to declare income and other particulars for year of assessment 2024/2025 (period from April 01, 2024 to March 31, 2025).



B. INSTRUCTIONS TO COMPLETE THE RETURN FORM

I. INSTRUCTIONS TO COMPLETE THE RETURN OF INCOME

- This Part consists of two SECTIONS;

SECTION 01 : STATEMENT OF TAX CALCULATION

SECTION 02 : DECLARATION

SECTION 01 - STATEMENT OF TAX CALCULATION

- This Section comprises five PARTS;

PART A – Income Liabile to Tax

PART B – Deductions from Assessable Income

PART C – Calculation of Tax Payable

PART D – Exempt Income

PART E – Mandatory Schedules

Before filling **SECTION 01** of the Return of Income, the **relevant Schedules** should be filled.

As such, follow **INSTRUCTIONS TO COMPLETE RETURN OF INCOME – SCHEDULES** and then complete the remaining part of the Return of Income as shown in the table below;

Part of the Return of Income		Relevant Cage
PART A ASSESSABLE INCOME	-	Cage 50
PART B Total Reliefs	-	Cage 90
Total Deductions from Assessable Income	-	Cage 110
TAXABLE INCOME	-	Cage 120



PART C		
Total Tax Payable	-	Cage 170
Balance Tax Payable	-	Cage 190
Refund Claimed	-	Cage 200
PART D		
Total Exempt / Excluded Income	-	Cage 210
PART E		
Mandatory Schedules		

SECTION 02 – DECLARATION

- Where a Return or part of a Return was prepared for a payment by any person, including by an approved accountant, mark “Yes”, if not, mark “No”. If you marked “Yes” fill **PART-A** of the **DECLARATION**, then attach the certificate/s issued by such person. In a situation where, more than one person involved, use a separate sheet to fill the above details and attach to the Return.
- In terms of Section 126(4) of the IR Act, a taxpayer or the taxpayer’s duly authorised agent shall sign the Return, attesting its accuracy and completeness.

Therefore, the taxpayer or the taxpayer’s duly authorised agent is required to sign the Return indicating his/her name in **PART B** of the **DECLARATION**.

- When you submit the return of income electronically and if you enter the amounts in real cages of schedules correctly, no need to calculate and fill the relevant cage in the return and fill the related schedules manually. Amounts for these cages are calculated correctly and filled automatically.

II. INSTRUCTIONS TO COMPLETE THE RETURN OF INCOME - SCHEDULES

- The following Schedules are available in the IRD web portal - www.ird.gov.lk

Schedule 1 – Employment Income



Schedule 2 – Business Income

Schedule 3 – Investment Income

Schedule 4 – Other Income and Foreign Currency Remitted
Amounts in to Sri Lanka

Schedule 5 – Qualifying Payments & Expenditure Relief

Schedule 6 – WHT on Final withholding Payments

Schedule 7 – Advance Income Tax / Withholding Tax

Schedule 8 – Tax Calculation

Schedule 9 – Tax Credits

Schedule 10 - Loss Adjustment

From the above Schedules, select and complete only those Schedules that are **relevant to you**.

Schedules, which are integral for filling of the Return, are considered as **Mandatory Schedules**. The below table indicates some circumstances where Schedule is to be considered as Mandatory Schedule.

Individual's Income		Schedules									
		1	2	3	4	5	6	7	8	9	10
1	Employment Income	√				√			√	√	
2	Only Business Income		√						√	√	
3	Business Income & Investment income with final WHT		√	√			√		√	√	
4	Only Investment Income with WHT /AIT			√				√	√	√	
5	Other Income with qualifying payment and foreign currency remitted amounts in to Sri Lanka during the year				√	√			√	√	
6	Employment Income, Business Income, Investment Income and other income with final WHT & WHT / AIT	√	√	√	√		√	√	√	√	



7	Only Business income with B/F loss / during the year loss		√							√
---	---	--	---	--	--	--	--	--	--	---

SCHEDULE 5, SCHEDULE 6 and SCHEDULE 7 will be mandatory to an individual if any qualifying payment (QP), WHT on final withholding payment and advance income tax/withholding tax respectively to be claimed/declared, in addition to the above marked Schedules.

2. Follow the steps given below to fill the Schedules.

STEP 1 - Select the Mandatory Schedules as for your income source and tax claims.

STEP 2 – Complete Mandatory Schedules and take amounts in Schedules to Return of Income as per the instructions provided

SCHEDULE 1- EMPLOYMENT INCOME

1. Declare details of Income tax liable Employment income (Remuneration and Terminal benefits – other deducting excluded or exempted income if any) on actual basis in respective lines of columns 102, 103, 107 and 108 in part 1 of schedule 1.

Separate lines have been allocated to declare primary employment income and terminal benefits named as *A and secondary employment and terminal benefits named as *B.

(If there is remuneration or terminal benefits received from more than one secondary employment, you may use the additional rows provided in schedule 1 – cage 101 & 106.

2. Period from April 01, 2024 period up to March 31, 2025.

3. Enter total of **Column 104** into **Cage 105** and total of **Column 109** into **Cage 110**.



4. Take amount in **Cage 110** of **SCHEDULE 01** into Cage **802.1** of **SCHEDULE 8**.
5. Then enter the aggregate amounts of **Cage 105 & Cage 110** into **Cage 111** of this Schedule. Take amount in **Cage 111** to **Cage 10 - EMPLOYMENT INCOME** of the **Return of Income**.
6. **Exempt / Excluded amounts** - Declare details of Exempt/ Excluded amounts related to Employment Income in **PART II** of **SCHEDULE 1**.

(List of exempt / excluded amounts are provided in **ANNEXURE 2** at the end of this Guide)

Finally enter total of exempt / Excluded employment income in Cage **115**, into **Cage 210 - Total Exempt / Excluded Income** of the **Return of Income**.

[If there is exempt / excluded business income (Cage 216 schedule 2), and/or exempt / excluded investment income (Cage 317 schedule 3) as well, aggregate these with exempt / excluded employment income (Cage 115) and take the total amount to Cage 210 - Total Exempt / Excluded Income of the **Return of Income**.]

SCHEDULE 2 – BUSINESS INCOME

- Ascertain business income received from categories of **sole proprietorship, partner’s business income from partnership and beneficiary’s business income from a trust** separately.
1. Declare details of the above business income under respective lines of Column **201, 202, 205, 206, 207, 210, 211** and **212** in **PART 1** of **SCHEDULE 2**.
 2. Take aggregate amounts in **Cage 204, 209 and 214** into **Cage 215**. Take amount in **Cage 215** into **Cage 20 -Business Income** of the **Return of Income**.
 3. **Exempt / Excluded amount** - Declare details of exempt / excluded amounts related to Business Income in **PART II** of **SCHEDULE 2**.



(List of exempt / excluded Amounts are provided in ANNEXURE 2 at the end of this Guide)

Finally enter total of exempt / excluded business income in **Cage 216**, into **Cage 210 - Total Exempt Income of the Return of Income**.

[If there is exempt / excluded employment Income (Cage 115), and/or exempt / excluded investment income (Cage 317) as well, aggregate these with exempt / excluded business income (Cage 216) and take the total amount to Cage 210].

SCHEDULE 3 – INVESTMENT INCOME

1. Ascertain investment income received from categories of **sole proprietorship, partner's share of investment income from partnership and beneficiary's share of investment income from a trust** separately and enter into relevant cages of **PART 1** of the **SCHEDULE 3**.
2. Then ascertain income from the following investment income received from the above categories separately;
 - Interest Income
 - Rent income
 - Gain on realization of investment assets – capital gain
 - Dividend
 - Any other investment income
3.
 - a. Dividend Income – Resident Person
Gain & profit from dividends for the year of assessment commencing on April 01, 2024. Such gain & profit shall be taxed at the rate of 15%.
 - b. Dividend Income – Non – Resident Person
Gain & profit form dividend for the year of assessment commencing on April 01, 2024. Such gain & profit should be taxed at the rate of 15%.



4. Take aggregate amounts in **Cage 304, 309 and 314** into **Cage 315**. Take amount in **Cage 315** to **Cage 30** of the **Return of Income**. This amount will be the income from **Investment Income**.

5. Reliefs -

- **Relief for Rent Income -**

Relief of 25 percent of the total rental income can be deducted, in case of an individual with rental income from an investment asset. Enter this amount into **Cage 316** of **PART II** of **SCHEDULE 3**. Then take this amount to **Cage 60** of the **RETURN OF INCOME**.

6. Declare details of **exempt amounts** related to Investment Income in **PART III** of **SCHEDULE 3**.

(List of Exempt Amounts are in **ANNEXURE 2** at the end of this Guide)

Finally enter total in **Cage 115 (Exempt / Excluded Employment Income)** of **SCHEDULE 1**, **Cage 216 (Exempt / Excluded Business Income)** of **SCHEDULE 2** and **Cage 317 (Exempt / Excluded Investment Income)** of **SCHEDULE 3** into **Cage 210 - Total Exempt / Excluded Income** of the **Return of Income**.

7. Interest income / Dividend income / Rent / Winnings from lottery, rewards, betting or gambling / Discount income / Other Investment Income discount charge / Royalty / Premium or similar product natural resources payment. In case of the above each every separate source of interest income shall be considered on the actual basis.

SCHEDULE 4 – OTHER INCOME

1. Enter details of other income in the corresponding lines in **Column 401**. Including the income from supply of electricity to national grid.
2. Take amounts in **Cage 403** into **Cage 40** of the **Return of Income**.
3. Enter amount in **406 e** into cage **210A** of the return



SCHEDULE 5 – QUALIFYING PAYMENTS & EXPENDITURE RELIEF

- ❖ A list of qualifying payments (QP) is available in **ANNEXURE 3**.
- ❖ There are four sub schedules in **SCHEDULE 5**.
 - **SCHEDULE 5A** – For qualifying payments made during the year (as per Inland Revenue Act, No. 24 of 2017, Amendment Act, No. 10 of 2021 & Amendment Act, No. 45 of 2022)
 - **SCHEDULE 5B** - For qualifying payments brought forward from the year of assessment 2023/2024 (Out of **QP made prior to 01.04.2018** - as per Inland Revenue Act, No. 10 of 2006)
 - **SCHEDULE 5C** – For expenditure on solar panels fixing on his premises by resident individual made during the year (as per the Inland Revenue Amendment Act, No. 10 of 2021 (Maximum Rs. 600,000/- for each year or actual expenses whichever is less)
 - **SCHEDULE 5D** – For expenditure on film industry (expenditure on construction and equipping or upgrading a cinema should be certified by the National Film Corporation of Sri Lanka as per the Inland Revenue Amendment Act, No. 10 of 2021.)

➤ Qualifying Payments

1. Enter qualifying payments, if any, into relevant Cages of SCHEDULE 5A and SCHEDULE 5B.
2. Take aggregate amounts in **Column 503** and **Column 507** of **SCHEDULE 5** to **Cage 504** and **Cage 509** respectively.
3. Take the amount in **523** of **Schedule 5D** into **Cage 503.5** of **SCHEDULE 5A**
4. Then take the total of **Cage 504** and **Cage 509** to **Cage 510**, to arrive at total deductible QP.



5. Take amount in **Cage 510 to Cage 100** of the **Return of Income**.

This amount will be the total amount of qualifying payments deductible for the year of assessment.

SCHEDULE 6 – WHT ON FINAL WITHHOLDING PAYMENTS

Table of **Final Withholding Payments, Non-Final Withholding Payments and applicable tax rates** are provided in **ANNEXURE 4**.

1. The **SCHEDULE 6** comprises of two sub schedules as follows;
 - **Schedule 6A** – Final Withholding Payments - WHT deducted by the withholding agent
 - **Schedule 6B** - Final Withholding Payments - WHT failed to deduct by the Withholding Agent
2. **Schedule 6 A - Final Withholding Payments - WHT deducted by the Withholding Agent –**

Enter details of each final withholding payment on which withholding tax has been **deducted by the Withholding Agent**, in given lines under **Columns 601 to 606**. Enter **Total Final WHT deducted** in **Cage 607**.

3. **Schedule 6 B - Final Withholding Payments - WHT failed to deduct by the Withholding Agent**

Enter details of WHT payments, though liable for deduction of WHT by withholding Agent, but have **not been deducted** by the Agent, in given lines under **Columns 608 to 613** of **SCHEDULE 6 B**. Enter **Total of Column 612** into **Cage 614**.

Finally take the amount in **Cage 614 to Cage 811** of **SCHEDULE 8 - TAX CALCULATION**.



SCHEDULE 7 – ADVANCE INCOME TAX (AIT) / WITHHOLDING TAX (WHT)

1. This Schedule comprises three sub schedules as follows;
 6. Schedule 7A – AIT/WHT deducted by the Withholding Agent
 7. Schedule 7B – WHT failed to be deducted by the Withholding Agent
 8. Schedule 7C - AIT from Partnership
2. Enter details of payments of which WHT had been deducted including advance receipts as follows;

ADVANCE INCOME TAX/WITHHOLDING TAX PAYMENT	SCHEDULE	RELEVANT COLUMNS /CAGE
A. Advance Income Tax Withholding tax - deducted by the Withholding Agent	SCHEDULE 7A	Columns 701 to 706
B. Withholding tax - failed to be deducted by the Withholding Agent	SCHEDULE 7B	Columns 712 to 717
C. AIT from Partnership	SCHEDULE 7C	Cage 723, 724

3. Use separate rows for different sources and types (Eg. rent, service fees, royalty, etc.) of receipts. When stating the source,
 - if the receipt is a Business Income, then indicate **B**,
 - if the receipt is an Investment Income, then indicate **I**.
 When stating the type of the receipt, if the type of income is rent, then indicate R.

Accordingly, different sources and types in **Column 701 from line .1 to .5** would read as follows;

Eg. Rent income from a business – B-Rent
Rent income from an investment – I-Rent



4. Schedule 7 A – Advance Income Tax/ Withholding Tax - deducted by the Withholding Agent

- i. Enter details of each AIT/WHT deductions (including AIT/WHT on advance payments) under given Columns from **Column 701 to 706** of **Schedule 7 A**
- ii. Enter **Total of Cage 706 - total of AIT/WHT deducted by WHT Agents** in **Cage 707**. Enter **AIT/WHT B/F on Advance Receipt** from Y/A 2022/2023 in **Cage 708**.
- iii. Enter total of **Cage 707** and **Cage 708** into **Cage 709**.

If opted to;

- claim total AIT/ WHT in Y/A 2024/2025, enter amount in **Cage 709 into Cage 710**. Enter amount in **Cage 710** into **Cage 908** of **SCHEDULE 9** to claim the total credit. Then the amount of **Cage 711** will be Nil; or

If opted to;

- carry forward the WHT on Advance Receipts to be deducted in future year of assessment, enter total WHT deducted during the year of assessment in **Cage 707**. Brought forward AIT/WHT deducted on advance receipt should be entered into **Cage 708**. Deduct the relevant AIT/WHT claim for the year of assessment 2024/2025 (**Cage 710**) from the amount in **Cage 709**. Enter amount in **Cage 710** into **Cage 908** of **SCHEDULE 9** to claim the credit. Balance amount in **Cage 711** will be WHT carried forward on Advance Receipt to next relevant year.

5. Schedule 7 B - Withholding Tax - failed to deduct by the Withholding Agent

- i. Enter details of WHT payments, though liable for deduction of WHT by withholding Agent, but have **not been deducted** by the Agent, in given lines under **Column 712 to 717** of **SCHEDULE 7 B**.



ii. Enter **Total of Column 717 - total of WHT paid by the Withholdee in Cage 718**. Enter **WHT B/F on Advance Receipt** from Y/A 2023/2024 in **Cage 719**.

iii. Enter total of **Cage 718** and **Cage 719** into **Cage 720**.

If opted to claim the total WHT in Y/A 2024/2025;

- enter amount in **Cage 720** into **Cage 721**. Enter amount in **Cage 721** into **Cage 933** of SCHEDULE 9B to claim the credit. Then the amount of **Cage 722** will be Nil; or

If opted to carry forward the WHT on Advance Receipts to be deducted in future year of assessment;

- enter total WHT paid by the withholdee during the year of assessment in **Cage 718**. Brought forward WHT paid by the withholdee on advance receipt during the year of assessment 2023/2024 should be entered into **Cage 719**.
- deduct the relevant WHT claim for the year of assessment 2024/2025 (**Cage 721**) from the amount in **Cage 720**. Enter amount in **Cage 721** into **Cage 933** of SCHEDULE 9B to claim the credit. Balance amount in **Cage 722** will be WHT carried forward on Advance Receipt to next relevant year.

6. Schedule 7 C – AIT from Partnership

- AIT allocated by a partnership to partners should be declared in this Schedule.
- If you are a partner of a partnership, enter amount of AIT, **allocated from the Partnership in Cage 723**. Enter **AIT B/F on Advance Receipt** from the year of assessment 2023/2024 in **Cage 724**. Enter total of **Cage 723** and **Cage 724** into **Cage 725**.

If opted to claim total AIT in Y/A 2024/2025;

- enter amount in **Cage 725** into **Cage 726**. Enter amount in **Cage 726** into **Cage 907** of SCHEDULE 9 to claim the credit. Then the amount of **Cage 727** will be Nil; or



If opted to carry forward the AIT on Advance Receipts to be deducted in future year of assessment;

- Deduct the relevant AIT **claimed for the year of assessment 2024/2025** (Cage 726) from the amount in **Cage 725**. Enter amount in **Cage 726** into **Cage 907** of **SCHEDULE 9** to claim the credit. Balance amount in **Cage 727** will be the AIT **carried forward on Advance Receipt** to next relevant year.

SCHEDULE 8 - TAX CALCULATION

1. This Schedule comprises seven parts, namely; **A, B, C, D, E F and G.**

a) Taxable Income

Enter **Cage 120 - Taxable Income** from the **Return of Income** into **Cage 801** in this part **A**.

b) Calculation of Income Tax on Terminal Benefits

- i. Terminal benefits are taxed at concessionary rates or normal progressive rates.
 - A list of terminal benefits liable to tax at concessionary rates is provided in **ANNEXURE 5** at the end of this Guide.
 - Concessionary Rates applicable for terminal benefits are provided in **ANNEXURE 6** at the end of this Guide.
 - Progressive Tax Rates are provided in **ANNEXURE 7**
- ii. Enter **Cage 110** of **PART 1** of **SCHEDULE 1** into line **802** in **Column .1 – Income** of this Schedule.
- iii. Enter terminal benefits, which are **liable to tax at concessionary rate of tax**, under the relevant lines (**line 803.a, line 803.b and line 803.c**) in **Column .1- Income** with corresponding tax rate in **Column .2 -Rate** for which that terminal benefit is liable to tax.



- iv. Enter such part of terminal benefits, liable to tax at normal rate, under **line 804 in Column .1 - Income.**
 - v. Then calculate the tax by applying either the relevant concessionary tax rates or normal progressive tax rates as for **ANNEXURES 6 or 7** at the end of this Guide.
 - vi. Enter such amount of tax pertaining to income relevant to Cages 803 a, 803 b, 803 c and 804 into in the respective Cages from Cages 803a .3, 803b.3, 803c.3 and 804.3 in Column .3.
 - vii. Finally enter aggregate amounts in **Cages 803a.3, 803b.3, 803c.3 and 804.3** and enter such total in **Cage 805.** Take amount in **Cage 805** to **Cage 130** of the **Return of Income.**
- c) Tax on Gain on Realization of Investment Assets**
- i. Gains on realization of Investment Assets (Capital Gain on sale of investment assets) are taxed at **10 %.**
 - ii. Enter capital gains on sale of investment assets from other than from a partnership, in line **806** under **Column .1 – Income.**
 - iii. Enter the corresponding tax in line **806 in Column .3 – Tax.**
- d) Tax on Gain on Realization of Investment Assets from Partnership**
- i. Capital gains on sale of Investment Assets from partnership are **taxed at 10 %.**
 - ii. Enter such capital gain on sale of investment assets from a partnership, in **line 807** under **Column .1 – Income** and the relevant tax in same lines under **Column .3 – Tax.**
 - iii. Enter total of **Cage 806.3 and Cage 807.3** into **Cage 140** of the **Return of Income.**
- e) Tax on Balance Taxable Income**
- **Tax on Taxable Income from Betting & Gaming, Manufacture & sale or Import & sale of any Liquor or Tobacco products**



- Applicable tax rate is **40%**.
- Enter taxable income in **Cage 808.1** and Tax on such income in **Cage 808.3**.
- **Tax on Balance Taxable Income to be taxed at the progressive income tax rates**
 - **Progressive income tax rates** are applicable.
 - Enter Taxable Income in **Cage 809 A.1**.
 - Apply progressive income tax rates given in **ANNEXURE 7** at the end of this Guide.
 - Enter such Tax in **Cage 809A.3**.
 - Enter aggregated amounts in **Cage 808.3, Cage 809A.3, Cage 809B.3** into **Cage 810**.
 - Finally take amount in **Cage 810** to **Cage 150** of the **Return of Income**.
- f) **Tax on Final Withholding Payments**
 - Enter aggregate amount of Cage 614 of Schedule 6 into Cage 811.
 - Finally take amount in Cage 811 into Cage 160 of the Return of Income.

SCHEDULE 9 - TAX CREDITS

Enter available tax credits into relevant Cages in **SCHEDULE 9**.

a) Foreign Tax Credit (Cage 901)

If you are entitled to any foreign tax credit under Section 80 of the IR Act, enter such amount in **Cage 901** of **SCHEDULE 9**. Foreign tax credit cannot be more than the amount of tax chargeable in Sri Lanka on such income.



b) 60% of Self Assessed Tax refund claim (Cage 902A)

With effect from 01.04.2023, taxpayers shall be set off 60% of the refundable amount against the subsequent income tax payable by the taxpayer prior to a tax audit. Enter the refund claim amount in to **Cage 902A** as such

c) APIT paid on Employment Income – Primary Employment (Cage 903)

Individuals who have employment Income from Primary Employment are entitled to claim tax credit on APIT deducted by the Primary Employer.

Enter APIT deductions made by Primary Employer on Remunerations in **Cage 903A, 903B, 903C**. Attach A.P.I.T. / T. 10(new) Certificates issued by your Primary Employer.

d) APIT paid on Employment Income – Secondary Employment (Cage 904)

Individuals who have more than one employment, employments other than Primary Employment are considered as Secondary Employment. Enter APIT deductions made by each second employer on Remunerations separately (Please attach A.P.I.T. / T. 10(new)).

e) Tax paid for Terminal Benefits (Cage 905)

Tax deducted and paid can be claimed as a credit. Enter such amount in Cage 905.

f) Partner's Share of Partnership Tax (Cage 906)

Before filling this Cage, you have to fill **SCHEDULE 9B**



- With effect from 01.01.2020, partnerships are liable to pay income tax on taxable income of the partnership.
- Enter balance share of partnership tax brought forward from Y/A 2023/2024 into **Cage 922**.
- Enter partner's share of partnership tax paid for 2024/2025 into **Cage 923**.
- Enter total partner's share of partnership tax (Total of **Cage 922** and **Cage 923**) into Cage 924 and deductible amount for Y/A 2024/2025 into **Cage 925**.

g) AIT from the Partnership (Cage 907)

Take allocated amount in **Cage 726** of **SCHEDULE 7 C** to **Cage 907**.
(Amount allocated from the Trust also can be entered)

h) Advance Income Tax Credit – AIT deducted by the withholding agent. (Cage 908)

Take amount in **Cage 710** of **SCHEDULE 7 A** to **Cage 908**

i) Tax paid on Gain on Realization of Investment Assets (Cage 909)

Enter paid amounts in Cage 909.

j) Tax paid on Gain on Realization of Investment Assets from the Partnership (Cage 910)

Enter allocated amounts by the Partnership in **Cage 910**.

k) Installment Payments and AIT/WHT paid by Withholdee (Cage 911)

Before filling this Cage, you have to fill **SCHEDULE 9B**

- Enter instalment payments and final payment in the given rows.



-
- ii. Enter aggregated amount of Instalment payments and final payment in **Cage 932**.
 - iii. Enter amounts of advance income tax/withholding tax payments made by withholders as per **Cage 614** of Schedule 6 B & **Cage 721** of Schedule 7 B into **Cage 933**.
 - iv. Enter aggregate amount of Cage 932 & 933 into Cage 934.
 - v. Take amount in Cage 934 into Cage 911 of Schedule 9.
- I) Enter aggregate amount from Cage 901 - Cage 911 into Cage 912. Finally take amount in Cage 912 into Cage 180 of the Return of Income.**

SCHEDULE 10 – LOSS ADJUSTMENT

- i. Losses incurred during the year of assessment or brought forward losses should be declared in this Schedule.
- ii. Part 1A and 1B are provided to declare the business losses that would have been taxed at the rate of 40% and progressive rates respectively if the loss was a profit. The Part II and Part III are provided to declare the investment and exempt losses respectively.
- iii. Enter B/F losses from Y/A 2018/2019, 2019/2020, 2020/2021 and 2021/2022, 2022/2023, 2023/2024 relevant to that line & current year loss in the next line in Column 0.2.
- iv. Enter profit of the current Y / A, which is considered to set off the losses, in Columns 0.3 to 0.7.
- v. An asset owned by a person is used in the production of different gains and profit from business (including losses) taxable at different tax rates, the cost of, and consideration received for the asset shall be apportioned among such gains and profits, according to the market value of the parts of the assets used to produce respective gains and profits.



C. INSTRUCTIONS TO COMPLETE THE STATEMENT OF ASSETS AND LIABILITIES

A* - Denoted all the immovable property in Sri Lanka.

B* - Denoted all the immovable property outside Sri Lanka.

A* 1 - The details about the resident place belongs to you as at 31.03.2021

In terms of Section 126(2) of the Inland Revenue Act, No. 24 of 2017, the Commissioner General may specify the information to be furnished on the Return and attachments, if any, required to be filed with the Return.

Accordingly, you are required to furnish the value of (your) every Asset and Liability (in or outside Sri Lanka) as at the last date of the year of assessment, 31 March 2025 in the form **Statement of Assets and Liabilities**, provided to you with the Return, and submit together with the Return.

(Please declare the acquisition cost or market value, if it is not an acquisition)

PART 01

A. Immovable Properties:

Declare all your immovable properties (situated in or outside Sri Lanka) as at 31.03.2025 with values.

B. Movable Properties:

Declare with values of all movable properties (in or outside Sri Lanka) such as Motor Vehicles, Bank Deposits, and Shares/Stocks/Securities, Cash in Hand, Loans given or Amounts receivable, Gold, Silver, Gems & Jewellery etc., owned by you as at 31.03.2025.

C. Properties held as a Part of Business



The values of properties as a part of a business i.e. the balance of capital and current account as at 31.03.2025 should be declared. (Attach the copies of the balance sheet, if applicable).

D. Liabilities as at 31.03.2025

All the liabilities, including loans to be paid to a person or institution during the year should be declared in this Part.

PART 02

A. Any other assets acquired or gift received during the year

Declare the total value of the assets including acquired properties and gifts received.

B. Disposal of assets including shares (sale/ transfer/ gift) during the year

Declare the total value of the assets disposed during the period from 01.04.2024 to 31.03.2025 (sales, exchanges, gifts).

ANNEXURES

ANNEXURE 1 – List of Available Reliefs

Reliefs provided under paragraph 2 of the Fifth Schedule to the IRA:

- a) **Personal Relief** - Relief granted under subparagraph (a) of paragraph 2 of Fifth Schedule to the IRA - Rs. 1,200,000 for the year of assessment up to the aggregate assessable income (except gains from the realization of investment assets).
- b) **Rent Relief** - Relief granted under subparagraph (c) of paragraph 2 of the Fifth Schedule to the IRA – 25% of the total rental income for the year of assessment.
- c) Relief granted under subparagraph (g) of paragraph 2 of the Fifth Schedule to the IRA – Resident individual who has acquired solar



panels to fix on his premises and connected to the national grid, Rs. 600,000 for each year of assessment upto the total expenditure on such solar panels or upto the amounts paid to a bank in respect of any loan obtained to acquire such solar panels.

Note: Above aggregate reliefs are deductible in arriving at the taxable income of an individual who is resident in Sri Lanka for a year of assessment subject to the provisions of IRA. However, non-resident individuals but citizens in Sri Lanka can deduct the personal relief mentioned under above paragraph (a) in arriving at the taxable income of such individual.

ANNEXURE 2 - List of Exempt Amounts (relevant to individuals)

(1) Exemptions available in the IR Act No. 24 of 2017 to the date.

- a) Capital sums paid to a person as compensation or a gratuity in relation to –
 - a) personal injuries suffered by the person; or
 - b) the death of another person;
- b) The pension of a person where the pension income is paid by the Government of Sri Lanka or a department of the Government of Sri Lanka;
- c) An amount paid to an employee at the time of retirement from—
 - i) any pension fund or the Employees Trust Fund established by the Employees Trust Fund Act, No.46 of 1980, as represents income derived by that fund, for any period commencing on or after April 1, 1987, from investments made by it;
 - ii) a provident fund approved by the Commissioner General or any regulated provident fund;
- d) The income of an individual entitled to privileges to the extent provided for by –



- i) a diplomatic immunities law or a similar law;
 - ii) an Act giving effect to the Convention on the Privileges and Immunities of the United Nations and the Convention on the Privileges and Immunities of the Specialized Agencies of the United Nations; or
 - iii) regulations made under this Act relating to an international organization, or a law or Act referred to in subparagraph (i) or (ii);
- e) A gain made by a resident individual from the realization of an investment asset that does not exceed Rs. 50,000 and where the total gains made by the resident individual from the realization of investment assets in the year of assessment do not exceed Rs. 600,000, except –
- i. where the Commissioner-General is satisfied that an investment asset has been realized in two or more parts, any gain arising from the realizations shall be exempt under this paragraph only if the total gain from the realization of all parts does not exceed Rs. 50,000 and the total gains made by the resident individual from the realization of investment assets in the year of assessment do not exceed Rs. 600,000;
 - ii) in the case of the realization of an investment asset that is jointly owned, this paragraph applies only if the total gain made by all owners of the investment asset on realization of the asset does not exceed Rs. 50,000 and the total gains made by the resident individual in the year of assessment do not exceed Rs. 600,000;
- f) A gain made by a resident individual on the realization of the individual's principal place of residence, provided it has been owned by the individual continuously for the three years before



being realized and lived in by the individual for at least two of those three years (calculated on a daily basis);

- g) Gain made on realization of an asset consisting of shares quoted in any official list published by any stock exchange licensed by the Securities and Exchange Commission of Sri Lanka;
- h) Any prize received by a person as an award made by the President of the Republic of Sri Lanka or by the Government in recognition of an invention created, or any research undertaken, by such person;
- i) Any sum received by any person from the President's Fund established by the President's Fund Act, No. 7 of 1978 or national Defence Fund established by the National Defence Fund Act, No. 9 of 1985;
- j) Any income earned by
 - (a) any non-resident person (other than a Sri Lankan permanent establishment) by way of interest, discount or realization of any gain on any sovereign bond denominated in local or foreign currency
 - (b) any person by way of interest or discount paid or allowed, as the case may be, on any sovereign bond denominated in foreign currency, including Sri Lanka Development Bonds, issued by or on behalf of the Government of Sri Lanka.
- k) Any amount derived by a senior citizen from an annuity for life for a period of not less than ten years purchased from a bank or an insurance company registered under the Regulation of Insurance Industry Act, No. 43 of 2000.
- l) A gain from the realization of Sri Lanka international sovereign bonds issued by or on behalf of the Government of Sri Lanka and received or derived by a commercial bank or authorized dealer who made an aggregate investment not less than USD 100 Million in such bonds on or after April 1, 2021;



- m) Any winning from a lottery, the gross amount of which does not exceed Rs. 500,000
- n) Benefits received or derived by an employee of the government of Sri Lanka from a road vehicle permit issued to that employee;
- o) Any amount derived by a person from the sale of any gem on which tax has been deducted at 2.5% under subsection (2) of section 84 of the IR Act.
- p) The interest accruing to or derived by any person outside Sri Lanka on any loan granted to any person in Sri Lanka or to the Government of Sri Lanka
- q) any amount derived on or after April 1, 2018, by any non- resident person as any payment for air craft, software licenses or as for other related services from the Sri Lankan Airlines Limited
- r) amounts derived by a non-resident person from engaging in a project of the Government of Sri Lanka, if such project is approved by the Minister taking into consideration the economic benefits to the country, and is totally funded from foreign grants
- s) The interest accruing to or derived by any person on moneys lying to his credit in foreign currency in any foreign currency account opened by him or on his behalf, in any commercial bank or in any specialized bank, with the approval of the Central Bank of Sri Lanka.
- t) The interest accruing to or derived by any person from a term deposit account titled as “Special Deposit Account” opened and maintained with an authorized dealer in Sri Lanka as prescribed by regulations made by the Minister under section 29 read with section 7 of the Foreign Exchange Act, No. 12 of 2017, (excluding the subsequently renewed accounts), either in any



designated foreign currency or in Sri Lanka Rupees on or after April 8, 2020

- u) On or after October 1, 2022 a dividend paid by a resident company which is engaged in any one or more of the following businesses in accordance with the provisions of the PART IV of the Finance Act No. 12 of 2012 and within the meaning of an agreement entered into with the Board of Investment of Sri Lanka established under the Board of Investment of Sri Lanka Law, No.4 of 1978:-
 - (i) Entrepot trade involving import, minor processing and re-export;
 - (ii) Offshore business where goods can be procured from one country or manufactured in one country and shipped to another country without bringing the same into Sri Lanka;
 - (iii) Providing front end services to clients abroad;
 - (iv) Headquarters operations of leading buyers for management of financial supply chain and billing operations;
 - (v) Logistic services such as bonded warehouse or multi- country consolidation in Sri Lanka.

On or after October 01, 2022 to a member to the extent that such dividend payment is attributable to or derived from another dividend received by the resident company or another resident company which is subject to Advance Income Tax under sub section (1A) of section 84A

- v) Dividends from and gains on the realization of shares in a non-resident company where derived by any person with respect to a substantial participation in the non-resident company. (as defined the substantial participation in paragraph (r) to the Third Schedule to the IRA)
- w) Any service rendered in or outside Sri Lanka to any person to be utilized outside Sri Lanka, where the payment for such services



is received in foreign currency and remitted through a bank to Sri Lanka;

- x) Any foreign source [other than gains and profits referred to in subitem (b)] where such gains and profits earned or derived in foreign currency and remitted through a bank to Sri Lanka,
- y) Any amount derived by any non-resident person from laboratory services or standards certification services.

(2) As provided in the Gazette Notification No. 2064/53 dated April 1, 2018, where the whole or any part of the profits and income of a person is exempt from Income Tax under the provisions of sections 16C, 16D, 16E, 24A, of the Inland Revenue Act, No. 10 of 2006, for a period as specified in those provisions and, if there is any unexpired part of that period as at March 31, 2018, such part shall be continued to be exempted from Income tax as if such provisions continued to have application.

(3) As per Extraordinary Gazette No. 2089/1–dated 17.09. 2018 if-

- a. an enterprise has entered into an agreement with the Board of Investment of Sri Lanka under section 17 of the Board of Investment of Sri Lanka Law No. 4 of 1978 prior to April 01, 2018; and
- b. the Agreement provides for the dividend paid by that enterprise to be fully or partly exempt from income tax or to be taxed at reduced rate of income tax, under the Inland Revenue Act, No. 28 of 1979 or under the Inland Revenue Act, No. 38 of 2000 or under the Inland Revenue Act, No. 10 of 2006 as the case may be, or for the basis for the computation of income tax liability,

such dividend paid by such enterprise shall continue to be exempt from income tax payable under the Inland Revenue Act, No. 24 of 2017 or liable for income tax calculated on the basis and at the rate provided under that agreement.



ANNEXURE 3 – List of Qualifying Payments

- a) Donations made in money to an approved charitable institution - subject to the amount of one fourth of the total assessable income (one third of the taxable income) or Rs. 75,000 or amount donated, whichever is less.
- b) Donations made in money or otherwise to the Government or any specified institutions in the Fifth Schedule to the IR Act.
- c) Any un-deducted balance of any qualifying payment brought forward from the previous year of assessment according to the Inland Revenue Act, No. 10 of 2006.
- d) With effect from April 1, 2021 contribution made by a resident individual in money or otherwise to establish a shop for a female individual who is from a Samurdhi beneficiary family as recommended and confirmed by the department of Samurdhi Development
- e) Expenditure incurred on or after April 1, 2021, by any person
 - (i) In the production of a film at a cost of (including promotional expenditure of such film) not less than five million rupees;
 - (ii) In the construction and equipping of a new cinema at a cost of not exceeding twenty five million rupees;
 - (iii) In the Upgrading of a cinema at a cost of not exceeding ten million rupees;

Providing that, the deduction under this subparagraph shall be restricted to one third of the taxable income of the year of assessment, and any amount which is not deducted in current year may be carried forward and deducted in the next succeeding year and so on, subject to the same restriction.



ANNEXURE 4 – TABLE OF FINAL WITHHOLDING PAYMENTS, NON-FINAL WITHHOLDING PAYMENTS AND APPLICABLE TAX RATES

	Type of Payment	WHT Rate
(a)	Amounts paid as winnings from a lottery, reward, betting or gambling, other than amounts received in conducting a business consisting of betting and gaming.	14% FINAL
(b)	9. Payments (other than interest) made to non-resident person that are subject to WHT (other than payment derived through a Sri Lankan permanent establishment).	14% FINAL
(c)	Interest or discount paid to or treated as being derived by a non-resident person	5% FINAL
(d)	Sale price of any gem sold at an auction	2.5%
(e)	Service fee payments exceeds Rs. 100,000 per calendar month to a resident individual who is not an employee of the payer with respect to following – (a) for teaching, lecturing, examining, invigilating or supervising an examination; (b) as a commission or brokerage to a resident insurance, sales or canvassing agent; or (c) for services provided by such individual in the capacity of independent service provider such as doctor, engineer, accountant, lawyer, software developer, researched, academic or any individual service provider as may be prescribed by regulation	5% on full payment
(f)	Interest of discount paid	5%
(g)	Rent payments to a resident person (if aggregate amount exceeds Rs. 100,000 per calendar month)	10% on full payment
(h)	Charge, natural resource payment or premium	14%
(i)	Royalty	14%
(j)	Dividend (Dividend declared by a resident company on or after January 01, 2023 is a Final WHT)	15%



ANNEXURE 5 – LIST OF TERMINAL BENEFITS LIABLE TO TAX AT CONCESSIONARY RATES

- i. Amount received in commutation of a pension.
- ii. Amount received as a retiring gratuity.
- iii. Amount received as compensation for loss of office or employment under a scheme which the commissioner general considers to be uniformly applicable to all individuals employed by the employer.
- iv. Amount paid to a person at or after the time of retirement from employment from the Employees' Trust Fund, established by the Employees' Trust Fund Act, No. 46 of 1980.

With respect to **compensation for loss of office** or employment which has not been approved by the Commissioner General of Inland Revenue (CGIR), payment from provident fund (which is not a regulated fund or not an approved fund by the CGIR), other payments or any retirement non-cash benefit are subject to Standard (Progressive) tax rates.

ANNEXURE 6– CONCESSIONARY RATES APPLICABLE FOR TERMINAL BENEFITS

TOTAL TERMINAL BENEFITS FROM EMPLOYMENT	TAX PAYABLE
1st - Rs. 10,000,000	0%
2nd - Rs. 10,000,000	6%
On the balance	12%



ANNEXURE 7 – STANDARD (PROGRESSIVE) INCOME TAX RATES

Rates applicable for the year of assessment 2024/2025

	Taxable Income	Tax Rate
Year of assessment 2024/2025 (Form April 01 st 2024 to March 31 st 2025)	First - Not exceeding Rs. 500,000)	6%
	Second - Exceeding Rs. 500,000 but not exceeding Rs. 1,000,000	12%
	Third - Exceeding Rs. 1,000,000 but not exceeding Rs. 1,500,000	18%
	Fourth - Exceeding Rs. 1,500,000 but not exceeding Rs. 2,000,000	24%
	Fifth - Exceeding Rs. 2,000,000 but not exceeding Rs. 2,500,000	30%
	Balance Amount	36%

Other Special tax rates

Business consisting of betting and gaming, manufacture and sale or import and sale of any liquor or tobacco products (other than buying & selling) – **40%**

Special Notes

In addition to the above guide lines, tax payers are hereby advised to follow the circulars related to the income tax issued by the commissioner General of Inland Revenue from time to time which have been published in the IRD web portal www.ird.gov.lk.



CONTACT DETAILS

Please contact IRD officers of the Secretariat or the relevant Regional Office for more details.

Head Office	Secretariat	0112135413 0112135438 0112135434 0112135441 0112135433 0112135430
Metropolitan Branch	Colombo City	0112504390
Metropolitan Branch	Colombo Central	0112505274
Metropolitan Branch	Colombo South	0112502564
Nawam Mawatha	Unit 1 & 2	0112302249
Regional Office	Anuradhapura	0252235512
Regional Office	Badulla	0552222490
Regional Office	Batticaloa	0652222087
Regional Office	Dambulla	0662283655
Regional Office	Galle	0912222504
Regional Office	Gampaha	0332234246
Regional Office	Jaffna	0212222076
Regional Office	Kalutara	0342222216
Regional Office	Kandy	0812223590
Regional Office	Kegalle	0352222493
Regional Office	Kurunegala	0372222798
Regional Office	Maharagama - East	0112803127
Regional Office	Maharagama- West	0112803125
Regional Office	Matara	0412222933
Regional Office	Negombo	0312228322
Regional Office	Nuwara Eliya	0522222520
Regional Office	Rathnapura	0452222040



TAXES - FOR A BETTER FUTURE



Illustrations

Example 01:

Ms. Renuka Hettiarachchi is a CFO of company BOP. Her income for the year of assessment 2024/2025 is as follows;

- Employment income Rs. 7,500,000
- Business income Rs. 10,000,000 (after deducting the allowable expenses)
- Gross Interest income from fixed deposits Rs, 8,000,000 (AIT has been deducted at rate 5% respectively).
- Rent Income is Rs. 1,900,000 (AIT at 10% has been Deducted)
- Other Income is Rs. 1,500,000
- Income Rs. 200,000 from supplying electricity to national grid from 31.04.2024 to 31.03.2025 by solar panel installation.

Employment income includes the cash and non-cash benefits. And she has donated Rs. 75,000 to purchase new equipment for District Hospital. In addition to that she has spent total amount Rs. 800,000 to establish a shop for a lady from Samurdhi beneficiary family during the Y/A. (by cash Rs. 500,000 and by providing materials – cement Rs. 300,000). As well as Ms. Renuka has installed a solar panel to her residential place which is connected to the national grid at cost of Rs. 2,000,000 on 01.08.2021 and she already deducted Rs. 1,800,000 as qualifying payment during last three years of assessment by Rs. 600,000 for each year. Furthermore to the above she spent Rs.15,000,000 to construct and equipping the new cinema by purchasing the new equipment which was approved by National Film Corporation of Sri Lanka during the year of Assessment.

Calculation of Income tax liability Ms. Renuka for the year assessment 2024/2025.



Calculation of Income Tax Liability

		Rs.
Employment Income		7,500,000
Business Income		10,000,000
Investment Income		
• Interest Income		8,000,000
• Rent Income		1,900,000
• Other Income		1,500,000
• Supply of electricity by solar pannel		200,000
Assessable Income		29,100,000
Less – Reliefs		
• Expenditure Relief	Not Applicable	-
• Rent Relief		(475,000)
• Personal Relief		(1,200,000)
• Solar Panel fixing	(Only balance Rs. 200,000)	(200,000)
Less – Qualifying payments		
• Donations		(75,000)
• Establish a shop for a Samurdhi female	Cash 500,000/- Cement 300,000/-	(800,000)
• New equipment for Cinema		(15,000,000)
Taxable Income		11,350,000
Tax Liability	500,000 x 6% = 30,000	
	500,000 x 12% = 60,000	
	500,000 x 18% = 90,000	
	500,000 x 24% = 120,000	
	500,000 x 30% = 150,000	
Total Tax Liability	Balance – 8,850,000 x 36% = 3,186,000	3,636,000
Credits Available		
Less – APIT		1,818,000
WHT on Interest		400,000
Balance Tax Payable (2024/2025)		1,418,000



Example 2

Professor Dimithri is attached to the Faculty of engineering, University of Peradeniya Sri Lanka. Meanwhile, he is working as once of the Consultant to the NARA and receive a monthly basis payment for his service renewed. Professor Dimithri's income for the year of assessment 2024/2025 is as follows;

- Employment income from Faculty of engineering (primary employment) - Rs. 9,000,000
- Consultancy fee income from NARA (secondary employment) – from 01.04.2024 to 31.01.2025 Rs. 5,000,000
- Gross Interest income is Rs. 4,500,000 (AIT has been deducted at 5%)
- Rent income is Rs. 1,800,000 (from the commercial building rentout for the business)
- Other income Rs. 360,000/- from suppling electricity to national grid from 01.04.2024 to 31.03.2025 by solar panel installation
- Dividend income RS. 500,000 from the resident company in February 2025 (AIT excluded from investment income at 15% has been deducted/ Final withholding payment)

Employment income included cash and non-cash benefits. He has spent Rs. 1,000,000 on Solar panel installation for his resident place which has been connected National Grid during last year of assessment. He has also donated Rs. 250,000 to the Bogawantana Maha Vidyalaya. (Government School) to establish a computer unit for the children. And donated Rs. 200,000 for approved charity during this year.

Calculation of Income Tax Liability



		Rs.
Employment Income		9,000,000
Consultancy fee		5,000,000
Investment Income		
Interest Income		4,500,000
Rent Income		1,800,000
Other Income		360,000
Dividend Income	(Excluded as tax paid at 15%)	500,000
Assessable Income		20,660,000
Less - Reliefs		
- Rent Relief - Expenditure relief - B/F Solar Penal Fixing - Personal Relief	Not Applicable	(450,000) - (400,000) (1,200,000)
Less – Qualifying payments		
- Donations - Donation to Govt. School	Approved Charity	(75,000) (250,000)
Taxable Income		18,285,000
Tax Liability	500,000 x 6% = 30,000	
	500,000 x 12% = 60,000	
	500,000 x 18% = 90,000	
	500,000 x 24% = 120,000	
	500,000 x 30% = 150,000	
	15,785,000 x 36% = 5,682,600	
Total Tax Payable(2024/2025)		6,132,600
Credits Available		
- Less - APIT - AIT On Interest - AIT on Rent @ 10% - Quarterly Payment		4,158,600 225,000 180,000 800,000
Balance Tax Payable		769,000